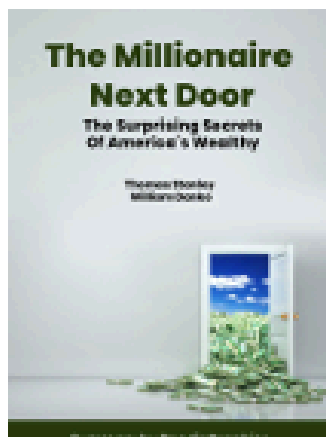




THE MILLIONAIRE NEXT DOOR

The Surprising Secrets of
America's Wealthy

THOMAS STANLEY AND
WILLIAM DANKO

The Big “So What”

Many people dream of becoming millionaires, owning fancy cars, luxurious houses and enjoying a lavish lifestyle. In this book, Stanley and Danko present the surprising findings of how the majority of self-made millionaires truly live and build their wealth. In fact, you may be living next to a millionaire now and not even know it.

The findings are based on 20 years of research, including interviews and surveys of more than 500 millionaires and tens of thousands of high net-worth and/or high-income individuals in America. They explain the difference between income and wealth, how ordinary Americans became millionaires in 1 generation, and how you can apply these insights to accumulate your own wealth.

What does “Wealth” Really Mean?

Defining Wealth



Most people define wealth as having plenty of material possessions. However, a lavish lifestyle is merely a sign of high expenses and not necessarily wealth. The authors identify a “millionaire” as someone who owns significant assets (including cash, investments, appreciable assets), with a net worth of at least US\$1 million. At the time of their study, only 3.5% of 100 million households in America fulfill this criteria.

- 80% of America's millionaires are first-generation rich, i.e. they accumulated their own wealth (and did not become rich due to a huge inheritance or windfall). This is evidence that wealth can be accumulated within one generation.
- Out of the millionaires surveyed, 95% have a net worth of \$1-10 million, and this book focuses on this majority.

KEY QUOTES

“We have discovered who the wealthy really are and who they are not. And, most important, we have determined how ordinary people can become wealthy.”

“Wealth is what you accumulate, not what you spend.”

“(People) think millionaires own expensive clothes, watches, and other status artifacts. We have found this is not the case.”

Contrary to popular belief, the process of accumulating wealth is not a flashy, rapid process, but a slow one that takes years. This is the typical profile of a wealthy, financially independent person from the study:

“(He is) a businessman who has lived in the same town for all of his adult life. This person owns a small factory, a chain of stores, or a service company. He has married once and remains married. He lives next door to people with a fraction of his wealth. He is a compulsive saver and investor. And he has made his money on his own.”

Net Worth and Wealth Accumulation Behaviours

How much net worth should be expected, given your current age and income? Use this formula to calculate your **expected net worth**:



$$\frac{\text{Your Age} \times \text{Pre-tax Annual Household income}^*}{10}$$

*(all sources of income except inheritances)

To know where you stand relative to your peers (given your age and income), look at your actual net worth versus your expected net worth. The authors compare those they call **PAWs (Prodigious Accumulator of Wealth)** and **UAWs (Under Accumulators of Wealth)**.

-  A **PAW** is in the top quartile for wealth accumulation, and has twice the level of net worth expected for his age/ income level.
-  A **UAW** is in the bottom quartile, and has half the level of net worth expected.

PAWs usually have at least four times the amount of the wealth accumulated by UAWs. For example, if you are 50 years old with a total household income of \$90,000, your expected net worth is \$450,000 - A PAW in this case may have a net worth of \$1 million, while a UAW may have a net worth of only \$250,000.

From their research, the authors found that **most self-made millionaires are PAWs, and they share 7 common denominators, which are outlined in this summary**. Essentially, they live frugally, ensuring that they adhere to a strict household budget and invest prodigiously. They may not earn huge incomes, but they accumulate wealth by living well below their means.

KEY QUOTES

“Self-employment is a major positive correlate of wealth.”

“It matters less how much more you make than what you do with what you already have.”

Obviously, there are also millionaires who inherited their wealth, and/or earn such a high income that they have a net worth of over \$1million after deducting their high expenses. However, they tend to be UAWs, living lavish lifestyles but feeling quietly insecure about sustaining it. Yet, the mass media tends to focus on such sensational, flashy lifestyles, shaping our mistaken perception of "how the wealthy live", and promoting the high-consumption culture that impoverishes many of our younger generation.

7 Denominators of Wealthy People

In essence, it doesn't matter how much you earn; it matters more how much you spend and invest relative to how much you earn. Here are the 7 common denominators of truly wealthy people.

1. Living well below your means



It is a myth that millionaires drive fancy cars, live in huge mansions in ultra-rich neighborhoods and wear designer clothes. **Frugality was found to be a crucial foundation of wealth-building.**

Most millionaires concurrently play offense when generating income, and defense when spending on consumer goods and services:

- Stanley and Danko were shocked to find that the decamillionaires (people worth at least \$10 million) at their focus group interviews actually **preferred soft-drinks, beer and club sandwiches to "premium foods" like pates, caviar and vintage wines.**
- Most millionaires **do not waste time and money buying expensive consumables** like suits, shoes, watches, and motor vehicles. For example, half of the millionaires surveyed had never spent more than \$235 for a wristwatch or more than \$140 for a pair of shoes. They are also 6 times less likely to own a \$1,000 suit (compared with corporate middle managers and professionals who earn high-incomes but also have high expenditures).
- They are typically supported by **spouses who are often even more frugal than they are.**

KEY QUOTES

"All too often young people are indoctrinated with the belief that 'those who have money spend lavishly' and 'if you don't show it, you don't have it.'"

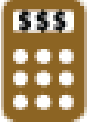
"Whatever your income, always live below your means."

"What are three words that profile the affluent? FRUGAL FRUGAL FRUGAL"

"Allocating time and money in the pursuit of looking superior often has a predictable outcome: inferior economic achievement."

"A couple cannot accumulate wealth if one of its members is a hyperconsumer."

Here 4 common practices of wealthy households:

 **They operate on an annual budget.** By creating an artificial environment of economic scarcity, they keep themselves financially disciplined. Millionaires ensure that they pay themselves first, by investing at least 15% of their annual income before paying for other expenses like home, food clothes etc.

 **They know exactly how much and what the family spends each year.** Because millionaires focus on becoming financially independent, they keep track of both their income and expenses. Being self-employed helps, as they can apply business budgeting principles to their own household. In short, a household that earns \$600,000 and spends \$100,000 is, in the long run, better off than a household that earns \$2 million and spends \$1.5 million.

 **They have clearly-defined daily, weekly, monthly, annual and lifetime goals.** Hence, they tend to be more focused and goal-oriented.

 **They spend a lot of time planning for their financial future.** Their financial independence did not happen by chance. It's the outcome of careful planning and consistently sacrificing high consumption today for financial independence tomorrow.

In short, most of these self-made millionaires became millionaires by budgeting and controlling their expenses. After becoming wealthy, they maintained their affluence through these sound practices. Similar to how people who are healthy tend to eat well and exercise regularly to maintain fit, wealthy people work hard to maintain their financial health. On the other hand, flashy households with six-figure annual incomes are not wealthy because of their earn-and-consume cycle.

2. Use Time, Energy and Money Efficiently



Time, energy, and money are finite resources, and wealthy people channel these resources efficiently to build wealth. They start earning and investing as early as possible in their adult life.

KEY QUOTES

"Few people can sustain profligate spending habits and simultaneously build wealth."

"Being a well-educated, high income earner does not automatically translate into financial independence. It takes planning and sacrificing."

"Too many high-income/ low-net worth types live from paycheck to paycheck, fearing a sudden downturn in our economy."

"Those who are wealthy work at staying financially fit. But those who are not financially fit do little to change their status."

"Efficiency is one of the most important components of wealth accumulation. Simply: People who become wealthy allocate their time, energy, and money in ways consistent with enhancing their net worth."

The authors found a negative correlation between education and wealth accumulation (for high-income earners with at least \$100,000 annual income). Besides the opportunity cost of spending additional time in college, professional school or graduate school, these educated high-income earners are often socialized into a consumption culture and become UAWs.

PAWs generally allocate almost twice the number of hours than UAWs each month toward financial planning (e.g. consulting with investment advisors, accountants etc.). Although UAWs worry about their economic well-being, they do not take the same disciplined actions as the PAWs (e.g. curbing consumption or investing before spending).

How do PAWs plan and manage their finances and wealth?



They know exactly how much their family spend on every category of product and service. Even though they are price conscious, they often invest in accounting or advisory services to plan and manage their expenses, with the goal of **freeing up at least 15% of their pre-tax income each year for investments**. 95% of the millionaires surveyed own stocks; however, they are typically investors, and not speculators who follow the stockmarket fluctuations closely.



They don't squander their resources. Instead of spending time, energy and money shopping for luxury items or even hunting for great bargains, PAWs divert their focus to learning about the various investment options and market offerings. Rather than waste time and energy worrying about their finances, they actually manage expenses, invest time and take action for their planning and investments.



They minimize their "realized income". You can only spend when you have "realized income" which is taxable, i.e. every dollar you earn to spend is first discounted by the taxman. To build wealth, minimize your realized income and maximize your unrealized income (i.e. appreciable assets without a cash flow).

KEY QUOTES

"Remember, wealth is blind. It cares not if its patrons are well educated."

"UAWs spend more time worrying about these (financial) issues than taking proactive steps to change their tendencies to overconsume and underinvest."

"Operating a household without a budget is akin to operating a business without a plan, without goals, and without direction."

"There is an inverse relationship between the time spent purchasing luxury items such as cars and clothes and the time spent planning one's financial future."

"A couple cannot accumulate wealth if one of its members is a hyperconsumer."

3. Financial Independence, Not Wealth Artifacts



Wealthy people prioritize achieving financial independence over displaying a high social status. In fact, they recognize that many status artifacts can be a burden or hindrance to their financial goals.



More than half the millionaires interviewed never paid more than \$30,000 for a motor vehicle, and most never spent near \$65,000 for one. The average millionaire in the book drove a second hand, American-built large family car, the Aussie equivalent being a Falcon, Commodore or maybe a similar four-wheel drive.



Most millionaires have lived in the same neighborhood for generations. It's much easier to accumulate wealth if you don't live in a high-status neighbourhood. Stanley and Danko advise that, if you're not yet wealthy (but want to be), do not buy a home that requires a mortgage of more than twice your household's total annual realized income.

Most PAWs love what they do and how they live. They don't change their lifestyles nor values when they become affluent. UAWs on the other hand tend to work only because they need to support their lifestyle and spending habits. Hence, despite their seemingly boring and simple lifestyles, these financially independent people are actually happier than their UAW counterparts with a high-consumption lifestyle but no financial security.

4. No "Parental Economic Support"



It is common for parents and grandparents to offer economic gifts and "acts of kindness", such as paying for the children or grandchildren's private school tuition fees, home mortgages, or transferring income-producing real estate or securities to their adult children. In the book, the authors refer to these as "Economic Outpatient Care" or EOC.

More than 46% of the affluent in America give at least \$15,000 worth of EOC annually to their adult children and/or grandchildren.

While they do so to improve their children's living circumstances, or to give their grandchildren a strong foundation, they may

KEY QUOTES

"If your goal is to become financially secure, you'll likely attain it.... But if your motive is to make money to spend money on the good life... you're never gonna make it."

"It's much easier...to earn a lot than it is to accumulate wealth."

"There are some things that are more fun to do...more interesting to do [than owning a Rolls]."
- One of the millionaires surveyed

unintentionally create economic dependency. After all, it's much easier to spend other people's money than your own.

However, not all EOCs are bad – the key is to ensure your gifts strengthen your children's foundations for financial independence, rather than encourage consumption beyond their means.

Millionaires whose offsprings grow up to be UAWs typically make the mistake of subsidizing their adult children's lavish lifestyle. Cash gifts that are intended for consumption often prop up an otherwise-unsustainable lifestyle, encourage unproductive behaviour and the development of poor financial habits.

 If your adult children cannot afford an expensive house in a premium district, you may feel tempted to help them with their down-payments or mortgages. Besides the housing costs, there are also unnecessary expenses associated with such neighbourhoods e.g. higher cost of goods and services, pressure to send the children to private schools or to display artifacts of wealth. They will inevitably learn to live beyond their means.

 Research shows that gift receivers are more likely to turn to credit for short-term cashflows, and generally invest less than non-receivers. They are not sensitized to the real cost of living and have a distorted perception of the value of money and poor financial discipline. For example, a \$10,000 tax-free cash gift is equivalent to 8% returns from \$125,000 of investments – which means \$125,000 of capital that your child never had to save. Worse still, many of them consider themselves to be self-made: they do not realize how far their parents' EOC has been assisting them and feel that their lavish lifestyle was self-earned. Once these cash gifts are withdrawn, they are unable to cope with their own finances.

Instead, millionaires whose children become PAWs teach their children how to fish, as elaborated in the next segment.

5. Nurture Self-sufficient Adult Children



Most affluent, well-informed parents would want to progressively reduce the size of their estate before they pass away, so they can share the wealth with their children without leaving them with a

KEY QUOTES

"Cash gifts are too often earmarked for consumption and the support of an unrealistically high lifestyle... giving of such gifts is the single most significant factor that explains lack of productivity among the adult children of the affluent."

"In general, the more dollars adult children receive, the fewer they accumulate, while those who are given fewer dollars accumulate more."

huge estate tax liability. They would likely have been advised to minimize estate taxes via annual gifts to their children.

Yet, as mentioned earlier, there's an inverse relationship between the economic success of the offspring and the amount of EOC and inheritance received. In fact, **the most productive offspring of millionaires received no economic gifts at all from their parents.**

After examining a range of "good" and "bad" case studies, the authors summarise **how wealthy people raise economically successful offspring:**

 **They do not tell the children that they are wealthy.** Many of the first-generation millionaires are so frugal that their PAW children don't know they are wealthy. They ensure the children demonstrate maturity, discipline, an established lifestyle and profession first before revealing their affluence (e.g. disbursing cash gifts from their trusts only when the children are 40 years old). They never openly discuss what the children or grandchildren will inherit or receive.

 **They inculcate the right values and thinking.** Regardless of their affluence, they lead by example to instill discipline and frugality in their children. They reinforce that there are more valuable things than money in life, and focus on their children's achievements (no matter how small) instead of symbols of success. They also help their children to deal with their weaknesses (rather than trying to protect them from failure). **They understand that when you are the best in your field, the money will follow.**

 **They nurture their children as unique individuals,** and avoid using economic gifts to "equalize" them (e.g. supporting the weaker children through cash gifts). They don't "compete" with their children, nor impose their vision or ideals on their adult children. In fact, they may seek the recipients' agreement before dishing out substantial gifts. Instead of directly subsidizing their children's lifestyle through cash gifts, they may invest in the right education, provide gifts to help them start or enhance a business, or even give private stock which cannot be readily cashed out for luxury purchases.

KEY QUOTES

"Many parents still think that their wealth can automatically transform their children into economically productive adults. They are wrong. Discipline and initiative can't be purchased like automobiles or clothing off a rack."

"Teach your children to achieve, not just to consume. Earning to enhance spending should not be one's ultimate goal."

"Be tough ... life is. In other words, there is no promise of a rose garden."

6. Leverage Market Opportunities



The affluent surveyed in this book - especially the self-made ones - accumulate wealth because they actively target and pursue market opportunities. Although they are price-sensitive about consumer products and services, they invest in relevant services like investment, accounting, tax and legal services, medical and dental care. Business owners also purchase business-related products and services. Often, those who supply such services to the affluent also become wealthy.

With the rising amount of affluence in America, there will be huge business opportunities for those who target the affluent, the children of the affluent, and the widows of the affluent. Some examples include finance and legal services (e.g. estate attorneys, tax and accounting services), immigration specialists, medical and dental care specialists (e.g. dermatologists, plastic surgeons, chiropractors), asset liquidators and appraisers (to evaluate gifts e.g. gems, antiques, art/ coin/ other collections etc.), educational professionals, housing specialists (e.g. home building contractors, mortgage brokers).

7. Choose the Right Vocation



Most of the affluent in America are business owners, including self-employed professionals.

- The most successful business owners all enjoy what they do. They take pride in overcoming their fears and challenges in business, set high standards, and demonstrate great discipline. Their success in business also helps many of their employees and investors to become wealthy. Hence, Stanley and Danko find it offensive when people claim they can “teach” others to become wealthy quickly through simplistic business home-study kits.
- However, less than 20% of these successful business owners pass their businesses to their children. Many even advise their children against business. This is because they understand that businesses come with risks, including changing consumer and market trends, competition and regulations. Instead, many of the millionaires advise their children - especially if their children are academically inclined - to become self-employed professionals, e.g. doctors, attorneys, architects.

KEY QUOTES

“We believe that in the next twenty years, the affluent will have to use every option within the law to remain affluent. It is a segment of our economy that will be under siege by the liberal politician and his friend, the tax man.”

“The character of the business owner is more important in predicting his level of wealth than the classification of his business...it's not the kit, not the idea, not the industry.”

“Courageous people, entrepreneurs, recognize the fear in what they are doing. But they deal with it. They overcome their fears. That's why they are successful.”

- While there was no clear predictor of which types of business generated more millionaires, **most of the affluent business owners interviewed were in “dull” but stable businesses.**

In short, the average people next door became millionaires because they chose the right occupation, faced their fears courageously and handled their money well with great financial discipline and frugality. These were what made them the millionaire next door.

Other useful details in the book to look out for



This book was first published in 1995, and the business and societal landscape has obviously changed significantly in today's internet age. However, these findings are a powerful reminder of how the average person can become a millionaire through a few (timeless) disciplines and principles, and how accumulated wealth can easily be lost by those who inherit them.

The book is presented mainly through examples and excerpts of the authors' numerous interviews and surveys, giving the reader good insights into how the first-generation self-made millionaires think and make their decisions. The book also includes numerous tables and statistics, breaking down the income and expenditure amounts, time allocation, mean earnings, types of businesses etc. associated with the millionaires studied.

About the Authors



Dr. Thomas J. Stanley (1944-2015) was an American writer and business theorist. He received a doctorate in business administration from the University of Georgia, and was on the faculty of the University at Albany, State University of New York. He taught at the University of Tennessee, University of Georgia and Georgia State University (where he was named Omicron Delta Kappa's Outstanding Professor).

KEY QUOTES

“Courageous people, entrepreneurs, recognize the fear in what they are doing. But they deal with it. They overcome their fears. That's why they are successful.”

“Dull companies with steady earnings growth may not make for stimulating cocktail party chatter, but over the long term they make the best investments”
- Meeks & Fomdiller, Forbes